Oxford Cambridge and RSA

Predicted Paper — Moderate Level

A Level Economics

H460/03 Themes in economics

Time allowed: 2 hours

You can use:

- a scientific or graphical calculator

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer all the questions.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [ ].
- Quality of extended response will be assessed in questions marked with an asterisk (*).

ADVICE

- Read each question carefully before you start your answer.

Section A

Write your answer to each question in the box provided.

1 Which of these is a factor of production?

A Goods
B Labour
C Money
D Services

Your answer [____] [1]

2 The marginal propensity to consume (MPC) in an economy is 0.75. An injection of £200 billion enters the economy. What is the final increase in GDP?

A £150 billion
B £266 billion
C £600 billion
D £800 billion

Your answer [____] [1]

3 Which of the following would be classified as a merit good?

A Cigarettes
B Education
C National defence
D Street lighting

Your answer [____] [1]

4 Which of these is an example of expansionary fiscal policy?

A An increase in income tax rates
B An increase in interest rates
C A reduction in corporation tax rates
D A reduction in the money supply

Your answer [____] [1]

5 A 10% increase in the price of Good X leads to a 4% fall in the quantity demanded. What is the price elasticity of demand (PED) for Good X?

A -2.5
B -0.4
C 0.4
D 2.5

Your answer [____] [1]

6 Which of the following describes allocative efficiency?

A MC = AC at the lowest point of the AC curve
B MC = AR
C MC = MR
D P > MC

Your answer [____] [1]

7 What is meant by economies of scope?

A Cost savings from producing larger volumes of a single good

B Cost savings from producing a wider range of related goods together

C Diseconomies arising from firm size

D The minimum efficient scale of production

Your answer [____] [1]

8 Which of the following is a characteristic of an oligopoly market?

A A large number of small firms

B High entry barriers and interdependent firms

C Homogeneous goods and no advertising

D Perfect information available to all consumers

Your answer [____] [1]

9 If the equilibrium wage in a competitive labour market is £12 per hour and the government imposes a minimum wage of £15 per hour, what is the most likely effect?

A A shortage of labour

B An excess supply of labour

C Higher demand for labour

D No change in the level of employment

Your answer [____] [1]

10 A UK firm exports machinery worth £500,000 to the USA. The exchange rate is £1 = $1.25. How much revenue does the firm receive in US dollars?

A $400,000

B $500,000

C $625,000

D $750,000

Your answer [____] [1]

11 A monopolist's profit-maximising level of output occurs where:

A AC = AR

B AR = MR

C MC = AR

D MC = MR

Your answer [____] [1]

12 A worker is paid £15 per hour and produces 30 units per hour. If productivity rises to 40 units per hour, what is the new unit labour cost?

A £0.375

B £0.50

C £0.60

D £1.33

Your answer [____] [1]

13 Which of the following would shift the supply of labour curve to the right?

A A decrease in the school leaving age

B A decrease in the working-age population

C A rise in the marginal product of labour

D An increase in trade union power

Your answer [____] [1]

14 The Phillips curve shows a relationship between:

A Economic growth and inflation
B Government spending and tax revenue
C Unemployment and inflation
D Unemployment and GDP

Your answer [____] [1]

15 If a country's currency appreciates sharply, what is the likely short-run effect on its current account balance (assuming demand for exports and imports is inelastic)?

A It will improve
B It will remain unchanged
C It will worsen
D It will become balanced

Your answer [____] [1]

16 In a country, workers earning below $10,000 pay 0% tax, those earning $10,001–$50,000 pay 20% tax, and those earning above $50,000 pay 40% tax. This is an example of:

A A proportional tax
B A progressive tax
C A regressive tax
D An indirect tax

Your answer [____] [1]

17 Which of the following policies is most likely to reduce income inequality?

A An increase in VAT on essential goods
B An increase in the personal income tax allowance
C A reduction in corporation tax
D A reduction in the top rate of income tax

Your answer [____] [1]

18 A subsidy is imposed on a good with a price-inelastic demand. Which of these is most likely?

A Consumers receive most of the benefit
B Consumer surplus falls
C Producers receive most of the benefit
D There is no change in price

Your answer [____] [1]

19 Which of the following is an injection into the circular flow of income?

A Government expenditure
B Imports
C Savings
D Taxation

Your answer [____] [1]

20 Which of the following best describes the free-rider problem?

A Consumers demanding goods without understanding their true value
B Firms gaining market power without competing on price

C Goods that create negative externalities for third parties

D People benefiting from a good without paying for it

Your answer [____] [1]

21 The diagram of a firm in perfect competition shows the firm making a loss in the short run. In the long run, what will happen?

A Firms will exit the market until normal profit is restored

B Firms will continue to make losses indefinitely

C New firms will enter the market

D Price will fall further

Your answer [____] [1]

22 A firm engaged in first-degree price discrimination charges:

A A single uniform price to all consumers

B Different prices based on time of purchase

C Each consumer the maximum price they are willing to pay

D Lower prices to bulk buyers only

Your answer [____] [1]

23 A country imposes a tariff on imported steel. Which group is most likely to benefit directly?

A Consumers of steel

B Domestic steel producers

C Foreign steel producers

D Importers of steel

Your answer [____] [1]

24 Which of these is the most liquid form of money?

A Cash in a current account

B Government bonds

C Shares in a private company

D Time deposits with a 90-day notice period

Your answer [____] [1]

25 A minimum price for alcohol is set above the equilibrium price. What is the most likely short-run impact?

A An excess supply of alcohol

B A decrease in producer surplus

C A shortage of alcohol

D An increase in consumer surplus

Your answer [____] [1]

26 Which of the following is an example of an anti-competitive practice?

A Advertising a new product

B Investing in new technology

C Predatory pricing

D Training employees

Your answer [____] [1]

27 An outward shift in a country's LRAS curve is most likely to be caused by:

A An increase in consumer confidence

B An increase in labour productivity

C An increase in wage rates

D A rise in the price of imported raw materials

Your answer [____] [1]

28 Which of these is measured as part of the Human Development Index (HDI)?

A Gini coefficient

B Infant mortality rate

C Life expectancy at birth

D Unemployment rate

Your answer [____] [1]

29 A Lorenz curve that lies closer to the line of equality indicates:

A A more equal distribution of income

B A more unequal distribution of income

C A country with higher GDP

D A country with lower GDP

Your answer [____] [1]

30 Where on the current account of the balance of payments would interest received from overseas investments be recorded?

A Primary income

B Secondary income

C Trade in goods

D Trade in services

Your answer [____] [1]

Section B

Read the extracts before answering the questions.

Extract 1

The UK Rail Industry

The UK rail network is one of the oldest in the world. In 1994 the industry was privatised; passenger services were split into regional franchises operated by private sector firms, while the infrastructure (tracks, signals and stations) has been managed by Network Rail, a public sector body, since 2002. Each passenger franchise operates as a regional monopoly, with consumers on most routes having no choice of operator.

Passenger numbers on the UK rail network rose from 735 million journeys in 1995 to over 1,700 million in 2019, before falling sharply during the pandemic. By 2022, numbers had partially recovered to around 1,380 million. Rail fares have risen faster than average wages for over a decade, and in 2023 the UK had some of the highest rail fares in Europe. The rail regulator, the Office of Rail and Road (ORR), caps regulated fare increases but has no direct control over unregulated fares, which make up around half of ticket sales.

In 2022/23, UK government spending on the rail network totalled £24.3 billion, a figure that can be compared with UK GDP of £2,275 billion in the same year. Train operating companies received government subsidies totalling £11.9 billion. Despite this, several franchises have collapsed back into public ownership in recent years, including the East Coast main line and Northern Rail. The Williams-Shapps Plan, announced in 2021, proposed a new public body, Great British Railways, to take strategic control of the network.

Critics argue that splitting the industry into many operating firms has led to a loss of economies of scale and inefficient duplication, while supporters of privatisation point to the rise in passenger numbers, investment in new rolling stock, and improvements in punctuality compared with the pre-1994 era. Customer satisfaction scores, however, have declined from 83% in 2013 to 76% in 2023.

Fig. 1.1

Selected indicators for the UK rail industry, 2013–2023

Year	**Passenger journeys (millions)**	**Average fare index (2013=100)**	**Customer satisfaction (%)**
2013	1,594	100	83
2016	1,718	116	81
2019	1,739	128	79
2021	990	135	78
2023	1,384	148	76

31 Using the data in Extract 1, calculate UK government spending on the rail network as a proportion of UK GDP in 2022/23. Show your working. **[2]**

32 Explain, using the information in Extract 1, one reason why customer satisfaction scores in the UK rail industry may have declined between 2013 and 2023. **[3]**

33* Evaluate, using an appropriate diagram and the information in Extract 1, whether a natural monopoly such as the rail network should be owned and operated by the public sector. **[15]**

Extract 2

UK Housing Market and Interest Rates

The UK housing market has long been a key driver of household wealth and consumer spending. Between 2020 and 2022, house prices rose by 22%, fuelled by historically low interest rates, a temporary cut in Stamp Duty, and a post-pandemic 'race for space' as more people worked from home. Housing demand was strong, but supply remained constrained — the UK built only 210,000 new homes in 2022/23, well below the government target of 300,000.

In response to rising inflation, which peaked at 11.1% in October 2022, the Bank of England's Monetary Policy Committee (MPC) raised the official bank rate from 0.1% in December 2021 to 5.25% by August 2023. For the roughly 1.6 million households due to remortgage in 2024, this has meant sharp increases in monthly repayments. Around 2.4 million mortgages are due to come off fixed rates before the end of 2026.

The housing market has cooled significantly. The Halifax House Price Index fell by 4.8% in the year to December 2023, the sharpest annual fall since 2011. New mortgage approvals fell by 33% between 2021 and 2023. The construction sector has also felt the impact: housebuilding starts fell by 44% in Q4 2023 compared with Q4 2022.

Some economists argue that higher interest rates are a blunt tool that punishes borrowers while doing little to address supply-side inflation pressures. Others argue that the tightening of monetary policy was essential to re-anchor inflation expectations and that the lagged effects of higher interest rates are necessary to return inflation to the 2% target.

Fig. 2.1

UK Consumer Price Index (CPI) annual inflation rate and Bank of England base rate (%)

Date	CPI inflation (%)	Bank rate (%)
December 2021	5.4	0.25
June 2022	9.4	1.25
October 2022	11.1	2.25
June 2023	7.9	5.00
December 2023	4.0	5.25

34 Using the data in Fig. 2.1, calculate the percentage point change in the Bank of England base rate between December 2021 and December 2023. **[3]**

35 Using Fig. 2.1 and information in Extract 2, identify evidence that suggests higher interest rates may have been effective in reducing UK inflation. **[2]**

36* Evaluate, using the information in Extract 2, whether the Bank of England's decision to raise the bank rate sharply between 2021 and 2023 was the best policy response to rising inflation. **[15]**

Extract 3

Teachers' Pay and the Supply of Teachers

The teaching profession in England has faced a sustained recruitment and retention crisis. In 2022/23, the Department for Education missed its target for secondary school teacher recruitment by 50%, and the number of teachers leaving the profession within five years of qualifying rose to 32%. To qualify as a teacher in the UK, individuals must complete an undergraduate degree followed by a one-year teacher training course, after which they undertake a statutory induction period of one year.

The National Education Union (NEU) represents over 450,000 members and is the largest education trade union in Europe. In 2023 the NEU organised eight days of strike action in response to what it called a 'decade of real-terms pay cuts'. According to the Institute for Fiscal Studies (IFS), teacher pay in England fell by around 13% in real terms between 2010 and 2023. Most teachers' salaries are determined by the School Teachers' Review Body (STRB) and funded by government, making the government effectively a monopsony employer of teachers in state schools.

In 2023, the government accepted an STRB recommendation for a 6.5% pay rise, although headteachers warned that without additional funding, this would need to be funded from existing school budgets. The average salary for a classroom teacher in England was £41,500 in 2023 — below the average salary of £47,200 for graduates working in the private sector with 5–10 years of experience.

Fig. 3.1

Teacher recruitment (% of target met) and real-terms average teacher pay index (2010 = 100), England

Year	Recruitment target met (%)	Real-terms pay index (2010=100)
2010	108	100
2015	94	94
2018	83	90
2020	102	89
2023	50	87

37 Using Fig. 3.1, compare the change in teacher recruitment and real-terms pay between 2010 and 2023. **[2]**

38 Evaluate, using the information in Extract 3, whether teachers' pay is likely to rise significantly in the next few years. **[8]**